CORPORATE LAWS & PRACTICES

Suggested Answers

Nov-Dec 2022

Answer to the Question# 1(a):

According to section 28 of the companies Act 1994, where it is proved to the satisfaction of the government that an association capable of being formed as limited company has been or is about to be formed for prompting commerce, art, science, charity, or any other useful object, and applies or intends to apply its profit, if any or other income in promoting its objects, and prohibit the payment of any dividends to its members, the government may, by license with approval of one of its Secretariats, directs that the association be registered as a company with limited liability, without the addition of the word "Limited" to its name, and the association may be registered accordingly. So, Mr. X is right.

Answer to the Question# 1(b):

As per regulation 70 of Schedule-I of Companies Act 1994, subject to the provisions, if any, in any law for the time being in force, the remuneration of the directors shall from time to time be determined by the company in General meeting. Therefore, omission of provision regarding director's remuneration in the articles of association of SRT Ltd. shall not allow the company to pay remuneration without changing the articles of association by passing a Special Resolution in a general meeting. The rate of remuneration also needs to be determined by the company in general meeting. The company secretary is advised accordingly.

Answer to the Question# 1(c) (i):

Section 58 of the Companies Act 1994 stipulates that no company limited by shares other than private company or a subsidiary company of a public company, shall give whether directly or indirectly, and whether by means of a loan guarantee the provision of security or otherwise any financial assistance for the purpose of or in connection with a purchase made or to be made by any person of any shares in the company. Hence my advice to Leadership Development PLC would be, they should not provide any loan guarantee to Mr. X for obtaining loan from bank for purchasing shares of the company as it is not permitted under the Companies Act 1994.

In case Leadership Development PLC is a private limited company, my advice would be different. Then LDP can provide this loan guarantee as there is no such restriction imposed for providing loan guarantee for private limited company subject to it is allowed as per the Articles of Association of LDP.

Answer to the Question# 1(c) (ii):

RESOLVED THAT in consideration of the ABC Bank Ltd (ABC) having agreed to advance working capital loan facilities with an overall credit limit of Tk. 900 million (Taka Nine Hundred million only) (hereinafter referred to as "the credit facilities") in the manner and on the terms and conditions contained in the sanction letter no…… dated ……..... to Generating Demand Ltd., a company incorporated under companies Act, 1994 having registered office at ..... (hereinafter referred to as the borrower"), one of the subsidiaries of Leadership Development PLC (the Company) and the company do execute a corporate guarantee, guaranteeing the repayment of the credit facilities along with interest in favor of ABC and on behalf of Generating Demand Ltd., the subsidiary company.

FURTHER RESOLVED THAT the Board of Directors of the company consider and declare the following:

1. That the terms and conditions for providing corporate guarantee as annexed to the sanction letter no……dated…. communicated by the Bank to Generating Demand Ltd. be and is hereby accepted as these are not prejudice to the interest of the company.
2. The Board consider that the corporate guarantee is for an amount of Tk. 900 million being approved for a tenure of 5 years.
3. The Board confirm that the guarantee provided is not prejudicial to the interest of the company.
4. The Board further consider receiving counter guarantee from Generating Demand Ltd in favor of Leadership Development PLC to protect the interest of the company.

RESOLVED FURTHER THAT the draft of the Guarantee Agreement received from ABC along with its sanction letter no…….dated…… (copies whereof duly authenticated by the Chairman of the Board have been circulated to the members of the Board) be and is hereby approved and the Managing Director of the company be and is hereby authorised to accept on behalf of the company with such modification therein as may be acceptable to ABC.

FURTHER RESOLVED THAT an undertaking to that effect that the company is willing to provide its corporate guarantee and execution of the necessary guarantee agreement for the above said purposes be furnished to ABC by the Managing Director for and on behalf of the company for providing corporate guarantee.

RESOLVED FURTHER THAT, a copy of the foregoing resolution duly certified as a true copy be submitted to the Bank under signature of any one of the directors of the company and the Bank do act upon the same."

Answer to the Question# 1(d) (i):

Fate of the meeting held by Aspiration PLC:
Every company may hold its first annual general meeting within a period of not more than eighteen months from the date of its incorporation, and if such general meeting is held within that period, it shall not be necessary for the company to hold any annual general meeting in the year of its incorporation or in the following year [Ref. Proviso of sec 81(1)]

In this instant case, Aspiration PLC held its first Annual General Meeting on 1st October 2022, a day after the statutory period, that is delayed by one day only. Hence, holding such meeting after delaying one day from the statutory period cannot be deemed or held to be a valid meeting under the law.

Answer to the Question# 1(d) (ii):

Remedy for Moonlight PLC:
Every company shall in each year of the Grogorian calendar hold in addition to any other meetings a general meeting as its annual general meeting and shall specify the meeting as such in the notices calling it; and not more than fifteen months shall elapse between the date of one annual general meeting of a company and that of the next [Ref. of sec 81(1)]

In this case, it's apparent that Moonlight PLC failed to hold its AGM within the due time and even further failed to hold the AGM within the 90 days extended time as allowed by the Registrar. In this circumstance the remedy is as follows:

If a company defaults in complying with the provisions of sub-section (1), the Court may, on the application of any member of the company, call or direct the calling of a general meeting of the company and give such ancillary or consequential direction as the Court thinks expedient in relation to the calling holding and conducting of the meeting [Ref. of sec 81(2)].

Answer to the Question# 2(a)(i):

Recently, Bangladesh Securities and Exchange Commission (BSEC) has issued a directive on declaration of stock dividend by the listed companies. As per the directives, only for the following purposes stock dividend can be declared:

a) for BMRE;
b) to meet regulatory requirement to raise capital; or
c) for profitable investment or reinvestment in the company.

At the same time, BSEC has issued some prerequisite for issuing bonus share. Among those, one of the prerequisites is that the company has to declare at least 10% cash dividend for a period of two consecutive years from the date of listing. Otherwise, prior permission form the Commission will be required. Since, the company could not declare such cash dividend in 2019 & 2020, for declaring Stock Dividend in 2021, prior permission from the Commission will be required.

Answer to the Question# 2(a)(ii):

Under the following circumstances, prior permission from the commission is required for issuing bonus shares:

a) the listed company which has not yet been competed three years of its operations as a listed company or until full utilization of fund or capital raised through public offer, whichever comes later;
b) listed company has not completed three years of operation from the date of raised fund through Rights issue or RPO or until full utilization of fund or capital raised through rights or RPO, whichever comes later;
c) the listed company is non-operational at least for a year except BMRE or force majeure;
d) listed company is under 'Z' category; or
e) anything as directed by the commission.

Answer to the Question# 2(a)(iii):

In order to declare stock dividend for 2021, the prior approval from the commission can be obtained as:

a) Immediately after decision of the board of directors in its meeting regarding issuance of bonus shares or declaration of stock dividend, the company shall disseminate price sensitive information, among others, announcing record date only for the shareholders' decision in the general meeting (not for entitlement) with an explicit announcement that such stock dividend or issuance of bonus shares shall be subject to approval of the Commission;
b) Within 5 (five) working days of approval of such stock dividend or bonus shares in the general meeting, the company shall make application to the Commission for its consent for issuance of bonus shares;
c) On receipt of application from the company, the Commission shall examine it, and if it is satisfied that all requirements are fulfilled, it shall accord consent in writing to issue of bonus shares within 15 (fifteen) working days of receipt of the application;
d) The company shall pay application fee and consent fee;
e) The company shall disseminate the receipt of the Commission's consent to issue bonus shares or stock dividend as price sensitive information within such time as determined by the Commission in the consent letter, announcing or mentioning the record date for the purpose of determination of entitlement of such bonus shares or stock dividend;
f) The record date shall be fixed not earlier than 5(five) market days but not later than 10(ten) market days from the date of according consent by the Commission;
g) The company shall, within 30 (thirty) days of record date, pay off the dividend through transfer of the bonus shares or stock dividend into the beneficial owner's (BO) account of the entitled shareholders.
h) The issuer company shall submit a dividend compliance report to the Commission, within 7(seven) working days of paid off such dividend.

Answer to the Question# 2(b)(i):

As per Securities and Exchange Commission (Rights Issue) Rules, 2006, an issuer of a listed security may make rights issue by issuing rights share offer document subject to be compliant with the followings: -

(a) such rights issue and price thereof have been approved by the shareholders in a general meeting;
(b) the proceed of previous public offering, or rights issue, has been utilized fully;
(c) annual general meeting has been held regularly;
(d) the rights issue has been fully underwritten on a firm commitment basis by the underwriter;
(e) the financial statements of the company are prepared as per International Accounting Standards (IAS), as applicable in Bangladesh, and audited as per International Standards on Auditing (ISA) as applicable in Bangladesh;
(f) the issuer or any of its directors is not a bank-defaulter;
(g) the issuer has been credit rated by a credit rating company, if the offer is at a premium; and
(h) Profitability record in the immediate preceding year.

Answer to the Question# 2(b)(ii):

The company shall determine the price of its rights share in consultation with the issue manager. While determining the price, following shall be taken into consideration-

- issue price shall not be above par value, if it has not been in commercial operation for immediate past three years having a track record of profitability; and
- The number of rights share proposed shall not exceed five for each existing share held in the company.

The company has fulfilled the above conditions and BSEC will review the documents for approving the offer price.

Answer to the Question# 2(b)(iii):

The company shall:-

(a) Announce two separate dates, for the purpose of record dates, one for shareholders decision regarding the proposed rights issue and the other for determination of entitlement of rights issue after the Commission accords approval.
(b) For the purpose of determination of entitlement of rights issue under these Rules, the issuer shall, within three working days from the date the Commission accords approval to the issuer under the Right Issue Rules, announce the record date.
(c) Disseminate the receipt of the Commission's approval along with purpose of the rights issue, amount of issue, price of rights share as a price sensitive information as prescribed by the Commission, mentioning the record date for the determination of entitlement of rights share; and subscription opening and closing dates will be disclosed within three working day.
(d) Commence record date as per (b) above, not earlier than fourteen working days and not later than twenty-one working days from the date of approval by the Commission.
(e) deliver offer document approved by the Commission to the shareholders entitled to have rights shares, stock exchange(s) and the Commission within 10 (ten) working days from the record date as mentioned in (b) above.
(f) The company shall post the rights offer document in the company's website and also put on the websites of the Commission, stock exchanges, and the issue manager within 3 (three) working days from the date of according consent; and if shall remain posted till the closure of the subscription period.

Answer to the Question# 3(a):

As empowered under the Financial Reporting Act 2015, Bangladesh Financial Reporting Council issued a Guidelines vide no. 146/FRC/ADMIN:/Proggapon/2020/01 dated 2nd March 2020 to address any mis-reporting of share money deposit in the interest of public. The essence of the guidelines is as follows:

- Any amount received in relation to share capital, which has been included in the shareholders' equity as share money deposit or in any other name is irrevocable and not refundable
- Any amount received under this account as share money deposit, has to be converted into share capital by maximum within six (6) months of such receipts
- Till the time any such share money deposit is converted into share capital, it is to be treated as Potential Share Capital and for the purpose of EPS computation this Potential Share Capital has to be considered

Considering the above, it needs to be highlighted on the non-compliance of instruction issued by Financial Reporting Council and potential exposure thereon for any litigation by any investors so that the financial results are correctly reflected in the financial statements

Answer to the Question# 3(b):

Auditor's report and opinion under Financial Reporting Act 2015:

1) In case of preparing the audit report in relation to financial statements of any public interest entity, the auditor shall give an affidavit in a form prescribed by regulations in such context that such report has been prepared after observance of applicable auditing standards and this Act and concerned provisions of any other laws.

2) No enlisted audit firm shall express any opinion in his report without following auditing standards made by the Council under section 40.

3) Where in the annual report of any entity, the directors or authorized persons of the concerned entity express their opinion in such context that in such report the corporate governance code or any other regulatory enforceable measure have been observed in preparation, in that case the auditor in his report shall mention whether the preparation has been done keeping consistency with the condition of such code or regulatory measure.

Answer to the Question# 4(a) (i):

Bangladesh Securities and Exchange Commission (BSEC) vide notification No. BSEC/CMRRCD/2009-193/217/Admin/90, dated 21 May 2019, among other has issued the following directives-

- ✓ All sponsors and directors other than independent directors of a company listed with any stock exchange shall all time jointly hold minimum 30% (thirty percent) shares of the paid-up capital of the company;

- ✓ Each director other than independent director of any listed company shall hold minimum 2% (two percent) shares of the paid-up capital, otherwise there shall be a casual vacancy of director:

Provided that any company or institution shall hold minimum 2% (two percent) shares of the paid-up capital of any listed company for nominating any individual against each position of director, otherwise there shall also be a casual vacancy of director.

In compliance with the above notification, although the requirement of holding jointly at least 30% shares of the paid -up capital of the company has been met, individual holding requirement (minimum 2% shares) by Mr. Rahman Sarker has not been meet.

Moreover, as per Corporate Governance Code of BSEC, independent director shall not hold more than 1% share of the company, but one of the independent directors has violated the rule.

Answer to the Question# 4(a) (ii):

Bangladesh Bank vide DFIM circular No. 09, dated 29 August 2022, has issued a directive for appointment of directors by the financial institution (FI)s.

Among others, the directive includes-

- ✓ Prior approval of Bangladesh Bank will be required for the appointment/ removal of directors of financial institution;
- ✓ No institution can nominate more than one director in the FI at a time;
- ✓ Current employee, external auditors, advisor, consultant cannot be the director and within 5 years after the retirement from such post;
- ✓ Tenure of the director will be not more than 3 years and he cannot hold the directorship for a consecutive 3 terms.

Further, Bangladesh Bank by the directive, issued some qualification/disqualification of directors, among others as follows-

- ✓ Minimum shares must be held by the directors except independent director as per BSEC regulation;
- ✓ Directors shall have at least 10 years of business/ management/ professional experience;
- ✓ Director or the company nominating the director shall not be a loan defaulter;

The financial institution is non- compliant with the Bangladesh Bank directive with regard to-

- ➢ Tenure of chairman- the chairman is the director for more than 10 years consecutively;
- ➢ Nomination by ABC Bank PLC- as per directive more than one director cannot be nominated at a time. But the bank has nominated 3 directors at a time.
- ➢ Nomination by PQR group- although one director has been nominated by an associate but other one is nominated from group, which has no legal entity;
- ➢ One director nominated by an institution- although there should have at least 10 years' experience, he has just completed his graduation and has no business experiences.

Answer to the Question# 4(a) (iii):

Board of directors shall immediately address such non-compliance in the following reasons:

1. The existing chairman will resign from the Board immediately and the Board will select another director as the chairman.
2. Keeping nomination of one director, ABC Bank PLC shall withdraw the nomination of other 2 directors. They may be nominated from their subsidiaries.
3. PQR Group shall withdraw the nomination of director from the group and may renominate him on behalf of another associate.
4. Nomination of Son of the entrepreneur shall be withdrawn, and may nominate a qualified one as his replacement.
5. Mr. Rahman Sarker, following due process will hold at least another 0.5% share of the FI.
6. Independent director shall off load his shares to bring it down to less than 1%.

The process of nomination and/or withdrawn of directors to comply with the regulation shall be made with the intimation to Bangladesh Bank.

Answer to the Question# 4(b):

This issue as shared by SVE is a very common scenario for the loanee, who take loan from any scheduled bank in Bangladesh. Considering this and to protect the interest of the depositors, loanee and other clients, Bangladesh Bank issued BPRD circular no. 11 dated 10th June 2021. As per this circular, for early settlement of all outstanding loan except for loan for Cottage, Micro and Small loan, a maximum 0.5% early settlement fee can be charged on the outstanding loan balances. In case of loan on account of Cottage, Micro and Small loan no early settlement fee is applicable. Hence, SVE can go ahead with takeover of loan by the new bank informing X Bank Ltd about the said BPRD Circular 11 dated 10th June 2021, basis which X Bank Ltd cannot charge any early settlement charge, even if it is there in the loan agreement.

Answer to the Question# 5(a):

Non-Banking Assets to be valued by a committee where minimum 3 experienced bankers will be included. If the value determined by the Sub-Registrar differs from the value determined by the bank committee, there shall be an explanation. Valuer Firm or Professional Body shall also be appointed to carry the valuation jobs. Value determined by the Valuer firm or value determined by the Committee, whichever is less, shall be considered as Market Value of the Assets. Finally Market Value must be approved by the Managing Director / CEO of the bank. It is mentionable here that, while determining the Market Value of Land, the Tin Shed/ Semi-Building, Useless Establishment and Machineries to be sold out and the amount to be adjusted with the loan account and no way shall be included with the value of Non-Banking Assets

Answer to the Question# 5(b):

When Sale Vale of Assets is greater than or Equal to Book Value: these types of Non-Banking Assets Accounts to be adjusted through sale of Non-Banking Assets only. If the Sale value is greater than the book value, excess of book value amount to be transferred to Retained Earnings Accounts. If there is any Interest Suspense against NBA or Provision against NBA, the entire amount to be transferred to Retained Earnings Account. Such excess amount arisen from Sale or Interest Suspense against NBA or Provision against NBA shall no way be transferred to Income Account for the current year.

Answer to the Question# 5(c):

If Bank wants a Non-Banking Asset for its own purpose, the matter to be approved by the board of Directors stating the reasonable ground for use of such asset. In such a case, if there is any Interest Suspense against NBA or Provision against NBA, the entire amount to be transferred to Retained Earnings Account and no way the amount to be transferred to Income Account for the current year. If the market price is greater than the Assets Book value, the excess amount to the transferred to Revaluation Reserve for Assets. On the other hand, if the Market value is lesser than the Market value, the difference amount to be treated in the current year's Income Statement as Loss of sale of Non-Banking Asset.

Answer to the Question# 6:

Insurance company is formed based on certain amount of capital in compliance with section 21 of Insurance Act 2010, Rules and other provisions thereof. Other than capital all monies of an insurance company are generated from the premium income of the insurance policy holders, which is supposed to be utilized for settling any future claims of the insurance policy holders and payment of dividend thereof to the shareholders if there is profit.

Hence keeping the life fund fixed deposit lien for enabling loan to sister concern is not allowed under the Life Insurers' Asset Investment Regulations 2019 as it may go against the interest of the policy holders or shareholders.

If any insurance company proceeds for any such initiative for providing guarantee against or keeping lien the life fund for enabling loan for its sister concern, it will be a punishable offence under the law. Recently Insurance Development Regulatory Authority of Bangladesh reiterated this through a circular no. 11/2022 dated 31st July 2022.

Answer to the Question# 7(a)(i):

Any worker can encash the unspent annual leave. However, more than half of the annual leave cannot be cashed out at the end of the year. This type of encashing can be done only once in a year. Provided that, the total of the last drawn monthly salary (except overtime allowance or bonus) shall be divided by 30 and the result shall be multiplied by the number of unspent annual leaves for the purpose of calculating annual leaves.

Accordingly, the maximum number of days that Mr. M can encash from his unspent leave is:

Lower of 50% of Annual Leave and actual leave balance
i.e., lower of 26 x 50% and (26-6)
i.e., lower of 13 and 20
i.e., 13 days

Answer to the Question# 7(a)(ii):

The maximum amount that Mr. M is eligible to get as leave encashment from his unspent leave:

Wages to be considered for calculation of encashment of unspent leave:

Particulars	Amount (Tk.)	Amount (Tk.)	Remarks
Basic wages	15,000	15,000	
House rent	7,500	7,500	
Medical allowances	5,000	5,000	
Conveyance	2,500	2,500	
Overtime	2,000	-	Not considered as per Rule 107(2) Of Bangladesh Labour Rules 2015
Festival bonus	15,000	-	
Performance bonus	5,000	-	
Total	52,000	30,000	

Hence, the encashable amount is = 30,000 ÷ 30 x 13 = Tk. 13,000

Answer to the Question# 7(a)(iii):

The maximum number of days that Mr. M can encash from his unspent leave is:

Lower of 50% of Annual Leave and actual leave balance
i.e., lower of 26 x 50% and (26-16)
i.e., lower of 13 and 10
i.e., 10 days

Accordingly, the maximum amount that Mr. M is eligible to get as leave encashment from his unspent leave is = 30,000 ÷ 30 x 10 = Tk. 10,000

Answer to the Question# 7(b):

Yes, as per labor law regulation Mrs. Sultana will be entitled to the maternity benefits.

She has fulfilled the criteria for availing such benefit as she joined the company before six months of her delivery. During her delivery of her 3rd child, she has one child. [Rule 46] Although she has not informed the HR in writing regarding her expected date of delivery, but verbal notification in this regard is permitted by the law [rule 47].

She will be entitled to maternity benefits for total sixteen weeks (eight weeks before and eight weeks after the delivery) @ of monthly average salary. The monthly average salary shall be calculated by dividing the total salary earned by her during 3 months immediately preceding the date on which she gave notice as per this law by the no. of days she actually worked during that period [rule 48].

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